Executive Summary

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The Changing Geography of Metropolitan Opportunity: The Segregation of the Poor in U.S. Metropolitin Areas, 1970 to 1990

By

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Introduction

This article analyzes the segregation of the poor in major cities across all parts of the United States. Two indices are used to quantify segregation of the poor in this analysis. The first index is the *index of dissimilarity* and the other is the *index of isolation*. These will be defined later in this summary. This study of segregation of poor in the United States is important because concern has grown in recent years about the negative consequences of people living in isolated, poor neighborhoods. Some of the negative consequences of this are scarcity of positive role models and service providers are typically of inferior quality and underfunded. In areas that have a higher concentration of poor, crime and drug use are typically more prevalent as well. In general, the more segregated the poor are from the rest of the population, the worse their situation seems to be. In this study, the "poor" are defined as persons that are below the poverty line. Note: the poverty line was not defined in this article. The purpose of this article is to quantify this segregation of the poor with these two indices, show how these indices changed from the 1970's to the 1990's and to compare these trends among major cities and regions of the country. This data can be used by policy makers in decisions regarding funding and can be used as indicators on whether current policies are working or not. An example of a program directly related to alleviating segregation of the poor is the Gautreaux program in Chicago that helped poor people move out of distressed neighborhoods to middle class areas. In all the study found that 5.7 million people would have to move to different neighborhoods within their own metropolitan areas of the 100 largest cities in the US to achieve what they consider to be an even distribution of the poor.

Measures of Segregation and data

Researchers typically use one of two approaches in gauging the concentration of poverty in a metropolitan area. The first approach measures the concentration of the poor by counting the number of census tracts that have high poverty rates or meet some other criteria for distress or

by adding the number of poor people who live in such tracts. For example, nearly 70 percent of the poor live in the 100 largest cities lived in poverty tracts (tracts with poverty rates of 20 percent or higher). The second approach is using the *dissimilarity* and *isolation* indices. This article uses this second approach.

The *dissimilarity* index measures the evenness of the distribution of the poor within a metropolitan area. The dissimilarity index describes the percentage of poor people that would have to move from one census tract to another to achieve an even distribution. A dissimilarity index of 0 means that the poor are perfectly distributed throughout all census tracts. A dissimilarity index of 100 means that 100 percent of all the poor need to move to achieve an even distribution.

The *isolation* index in this article measures the extent to which the poor are exposed in their neighborhoods to other poor people. This index varies from 0 to 100. Zero indicates someone completely around people other than poor and 100 indicates complete isolation of the poor from everyone else.

Census tract and metropolitan areas data are from the Under Class Data Base developed at The Urban Institute using information from Census Bureau.

Results

The mean value for the dissimilarity index for 1990 among the 100 largest U.S. metropolitan areas was 36.1, and the mean value of the isolation index was 21.0. This is without weighting for the population. The means that, on average, that 36.1 percent of the poor would have to move out of their current neighborhoods to achieve an even distribution of the poor in the average metropolitan area. In raw numbers, 36.1 percent in 1990 meant that 5.7 million poor people would have to relocate to different neighborhoods with the same metropolitan area. A value of 21.0 on the isolation index indicates that the neighborhood of an average poor person is 21.0 percent poor.

Using these indices, the segregation of the poor is still much less than the segregation of blacks as of 1990. The dissimilarity of blacks was 60.6 with the isolation was 42.2. For Hispanics, the average dissimilarity was 39.1 with an isolation of 17.2.

One concern that might affect the numbers in this study is what is considered “short term poor”. These are people who are temporarily misplaced because of layoffs or other factors. To alleviate this, the authors compared factors that are considered more permanent indicators of poor such as the number of high school dropouts and Welfare recipients. For example, the average dissimilarity for high school dropouts was 35.2 had a correlation of 0.53 with the

dissimilarity of the poor. The average dissimilarity for welfare recipients is 34.3 with a very high correlation of 0.92.

The segregation indices varied greatly among metropolitan areas. Dissimilarity index range was from 19.6 (Bristol TN-VA) to 55.1 (Milwaukee). The Isolation Index ranged from 7.1 (Nassau-Suffolk, NY) to 35.4 (El Paso, TX). Milwaukee also experienced the largest increase in the dissimilarity of the poor (16.3) and isolation of the poor (15.3). The largest decrease was Tulsa (-6.0). The largest decrease of isolation was Charleston, SC (-12.2)

The article mentioned that it was beyond the scope of it to get in why the numbers are the way they are, however, multiple regression analysis of the 100 largest metropolitan areas and several other variables in the 1990 population. These variables of interest: Percentages of black population: Poor are more segregated in areas with larger percentages of black in the population. Coefficient 0.372, t Statistic 4.79, $p<0.001$. Change in poverty rate: Areas experiencing increases in poverty rate from 1970-1990 also experience higher dissimilarity of poor. Coefficient 0.5.33, t Statistic 2.05, $p<0.05$.

Changes in the segregation of the poor: 1970-1990

On average, the poor became more segregated from1970-1990. The mean dissimilarity of the poor increased by 3.5 (11 percent). The isolation of the poor rose by 1.8 (9 Percent). This is consistent with other similar studies. While segregation of the poor increased, the segregation of blacks decreased. The dissimilarity of blacks fell by 7.2 (11 percent). For non whites, the dissimilarity fell by 15.8 (23 percent) from 1970-1990. A partial explanation for this is that fair housing laws have permitted blacks and other minorities to move to more integrated suburban areas from poorer areas.

The northeast had a larger dissimilarity index than the south and west. The isolation index was high in both the northeast and the Midwest. Metropolitan areas in the Northeast and Midwest appear to be susceptible to some of the negative consequences of the economy. This is likely due to decline in manufacturing jobs in central cities and net shift of jobs to suburban areas. There is more mixing of poor and non poor in a metropolitan area if the number of the poor started out as a larger share of the population.

In an effort to decrease the segregation of the poor, the authors recommend a broad range of policy options. One set of programs would attempt to attract the noonpoor into poor neighborhoods through community redevelopment programs. Another is to provide transportation assistance to jobs in the suburbs or by finding them housing in nonpoor areas.

Critique

The statistical analysis seems to be very sound for all the results of this article. For example, many tables include Coefficient of correlations along with the t-statistic and corresponding p value. The authors did make their case by approaching the findings in a variety of ways and comparing their results with other studies. The authors' results did match their data and was very understandable. It would have been nice to see other correlations such as crime rate affects the cities with the highest and lowest segregation of the poor. It would an interesting next step to examine the factors going into why each of these cities changed affecting these results between 1970 and 1990.